

1. Which cost varies with the level of production?

- a) Fixed cost
- b) Variable cost
- c) Sunk cost
- d) Opportunity cost

Answer: b

2. What is the formula for break-even point in units?

- a) Fixed costs / Contribution per unit
- b) Variable costs / Selling price
- c) Total costs / Units
- d) Fixed costs x Selling price

Answer: a

3. Which of these is a direct cost?

- a) Raw materials
- b) Factory rent
- c) Supervisor salary
- d) Office electricity

Answer: a

4. What is a standard cost?

- a) A predetermined cost for a product
- b) The actual cost incurred
- c) The lowest market price
- d) A cost that never changes

Answer: a

5. Which method allocates overhead costs to products?

- a) Cost allocation
- b) Cost reduction
- c) Cost avoidance
- d) Cost control

Answer: a

6. What is contribution margin?

- a) Sales minus variable costs
- b) Sales minus fixed costs
- c) Revenue plus costs
- d) Total cost divided by units

Answer: a

7. Which costing method assigns costs to each unit of output?

- a) Job costing
- b) Process costing
- c) Absorption costing
- d) Marginal costing

Answer: b

8. What does variance analysis compare?

- a) Actual costs vs standard costs
- b) Sales vs profit
- c) Assets vs liabilities
- d) Budget vs expenses only

Answer: a

9. Which of these is an overhead cost?

- a) Factory electricity
- b) Direct labor
- c) Direct material
- d) Raw material

Answer: a

10. What is the purpose of a cost sheet?

- a) Summarize the cost of production
- b) Record sales
- c) Track cash flow
- d) Calculate taxes

Answer: a

11. Explain the difference between fixed and variable costs with examples.

(Write your answer in the space provided.)

12. Describe how marginal costing helps in pricing decisions.

(Write your answer in the space provided.)